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GST CASE LAW COMPENDIUM



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INDEX

• Whether Provisional Attachment under Section 83 can be done based on prima face findings of the investigation?	1
• Whether an Order passed on the date of personal hearing is valid?	2-3
• Whether Summary of SCN in Form GST DRC-01 can substitute the statutory requirement of SCN under the CGST Act?	4
• Whether a Notice for seizure can be served on the driver transporting the goods?	5-6
• Whether proceedings under Section 74 can be initiated after closure of proceedings under Section 73?	7
• Whether opportunity of hearing must be granted post blocking of ECL under Rule 86A of the CGST Rules?	8-9
• Whether the State authorities can initiate proceedings when Central authorities have already initiated the proceedings on the same subject matter?	10
• Whether application for cancellation of GST registration can be rejected based on scrutiny proceedings against the taxpayer for determining tax liability of the past period?	11
• Whether the petitioner can file an appeal after the expiry of the statutory time limit allowed?	12
• Whether a penalty can be imposed when a designated route not taken during transportation?	13
• Whether writ petition is maintainable when an alternate remedy of appeal is not exercised?	14
• Whether the assessment proceedings valid when the SCN is not uploaded on the common portal?	15
• Whether Appeal to the First Appellate Authority can be filed beyond condonable period after the disposal of the writ petition on the same subject matter?	16
• Whether registration can be canceled without assigning any reasons?	17
• Whether GST is applicable for providing a personal guarantee by the Director for securing loans for the Company?	18



• Whether the rectification of the errors in the GST returns can be allowed after the expiry of the deadline specified under Section 39(9) of the CGST Act?	19
• Whether the provisions of Rule 96(10) are ultra vires the provisions of S.16 of the IGST Act?	20-21
• Whether the provisions of Section 17(2) of the CGST Act unconstitutional and ultra-vires Article 14 to the extent it restricts the refund under IDS?	22
• Whether a Penalty under Section 129 can be imposed when there is no intention to evade payment of tax?	23
• About the Author	24



Whether Provisional Attachment under Section 83 can be done based on prima facie findings of the investigation?

Yes, the Honorable Delhi High Court in the case of ***JV Creatives (P.) Ltd. v. Principal Additional Director General, DGGI, Gurugram Zonal Unit [W.P. (C) No. 10042 of 2024 dated July 23, 2024]*** dismissed the writ petition filed against the order of provisional attachment passed under Section 83 of the Central Goods and Services Tax Act. The Honorable Court noted that the Commissioner prima facie opined that passing of the order was necessary to protect the interest of the revenue in a view that there is a nexus between the supplier and recipient wherein it has been alleged that the supplier was non-existent and the invoice has been issued without the supply of goods. The Honorable Court observed that the investigations indicate that the petitioner had claimed ITC amounting to Rs.26,91,938/- from two suppliers who were found to be fake. Further, during departmental visits, one of the supplier was found non-existent, and further inquiries revealed that the proprietor of such a firm was a taxi driver. Another firm was also floated by master-mind and this is recorded in the statement of such master-mind. These facts clearly indicate that the Respondent Commissioner found it necessary to provisionally attach the Petitioner's bank account to protect the interest of the revenue as it clearly seems that there is a nexus between the supplier and the Petitioner. Hence, the writ petition is unwarranted and accordingly dismissed and the Impugned Order is upheld.

Author's Comments

For every adverse outcome of departmental proceedings, taxpayers can express disappointment or displeasure but rushing to file a Writ petition does not help merely because it is statutorily permitted. Every "Order" must be tested for 'grounds of maintainability' of appeal and relief prayed for. As soon as provisional attachment is ordered, the taxpayer must prefer an application to Commissioner in form DRC-22A under Rule 159(5) to present (i) an undertaking to discharge liability when a lawful demand is made (ii) the ability of a taxpayer to meet future obligations (iii) liability is not free from doubt about the underlying interpretation of facts or of law (iv) all other returns and compliances up to date by the taxpayer (v) no other delinquency detected and (vi) no risk of light and any perception to be redressed by offering surety or suitable security. When these factors are presented, it would be a herculean task to reject the application as the decision to reject is subject to 'judicial review' of the reasons for dissatisfaction with the explanation offered by the taxpayer. In the instant case, without allowing the Commissioner to reject the application, it was prematurely appealed under Article 226 before the High Court with no persuasive grounds to plead injustice.

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Whether an Order passed on the date of personal hearing is valid?

No, the Honorable Madras High Court in the case of *M/s. SS Traders vs. Joint Commissioner (ST) (Intelligence) [Writ Petition No. 15363 of 2021 dated August 16, 2024]* set aside the order and remanded back to pass a fresh order. The Honorable Court noted that the petitioner is mulct with huge tax liability vide Assessment Order and on the date of hearing, 105 pages' order was passed which was technically impossible. The Honorable Court observed that the Impugned SCN was served dated February 11, 2021, to which the Petitioner replied on March 15, 2021, and requested three weeks-time. Pursuant to the reply, an SCN was issued on March 22, 2021, and the date of the personal hearing was fixed on April 06, 2021. The Petitioner filed a reply on March 31, 2021, and requested a fifteen-day time period. The Respondent-2 issued another SCN on April 07, 2021, and granted a final opportunity to the Petitioner for filing objections on or before April 12, 2021, and directed them to appear for a personal hearing on April 12, 2021. It was contended that goods were not received by the Petitioner and the Petitioner had not deliberately paid tax from Electronic Cash Register. The Petitioner had wrongly claimed/availed Input Tax Credit. The Petitioner contended that they cannot be found fault with on account of failure of the supplier to file statutory returns as is contemplated under the respective GST enactments. The supply of goods was directly from the place of storage godown/warehouse and the invoices were directly raised from the branch office of the head office. The Petitioner had also received consideration for the supplies affected and therefore, it cannot be said that no supply was affected. Lastly, the case was heard on April 12, 2021, and on the same date, the Impugned Order has been passed consisting of 105 pages, which is technically impossible as the Petitioner was fully heard on the said date. The Respondent-2 without considering the Petitioner's contentions passed an Assessment Order dated April 12, 2021 for the Assessment Year 2017-18.

The Honorable High Court held that the Impugned Order is quashed and shall be treated as an addendum to SCN dated February 11, 2021, and remitted the case back to the Respondents to pass a fresh order where the Petitioner shall deposit 10% of the disputed tax within a period of six weeks and shall file a reply to the Impugned Order. If the Petitioner fails to comply with the conditions, it shall be construed the writ petition was dismissed with liberty to proceed against the Petitioner.

Author's Comments

Where self-assessment is challenged, the burden rests on the Revenue making the allegation and not on the Registered Person-suffering the allegation. The Burden of proof is not discharged by making the allegation. The Burden of proof is discharged only when a mountain of evidence commensurate with the nature of the allegation made is produced and appended to notice.

Allegations of severe wrong-doing require proportionately substantial evidence. Evidence is not extracted from books of accounts or statements taken on-oath. Evidence is that proves something. Section 155 of the CGST Act places the burden to prove regarding “eligibility to credit” only on the taxpayer. Once, it is shown that all the conditions of section 16 are fulfilled, the taxpayer’s burden is discharged and the onus shifts on the department to prove their case.

In the instant case, the petitioner could have disputed the allegation stating that being a trader; if the outward supplies are accepted to be genuine then inward supplies have to be genuine. And if inward supplies are in-genuine and outward supplies are accepted to be genuine, then the allegation is deeply rooted in incomplete investigation, surmise, and conjecture only. The Revenue cannot approbate and reprobate on the same issue. The taxpayer must have allowed the revenue to prove their case and in the absence of evidence in support of allegations, allegations are self-defeating.

Issuance of an order on the date of PH is not something that can be pleaded to highlight how exactly the taxpayer is aggrieved in such a scenario. And decision itself gives liberty for the respondent to decide afresh, which is otiose. Whether to celebrate such an order that remands back the case to the Proper officer for another round of adjudication (re-adjudication) is a matter of choice and strategy. In the Author’s considered opinion, such orders are unable to fetch the desired relief because SCN is not vacated; only a short-term relief (at a cost) is provided.

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Whether Summary of SCN in Form GST DRC-01 can substitute the statutory requirement of SCN under the CGST Act?

No, the Honorable Gauhati High Court in the case of **Construction Catalysers (P.) Ltd. v. State of Assam [WP(C) No.3912 of 2024 dated 26.09.2024]** decided that the Summary of the Show Cause Notice in GST DRC-01 is not a substitute to the Show Cause Notice to be issued in terms with Section 73 (1) of the Central Act as well as the State Act. The Honorable Court noted that the petitioner was issued a Summary of the show cause in GST DRC-01 along with an attachment of the determination of tax. Further, the attachment to both the Summary of the SCN as well as the Summary of the Order uploaded in GST DRC-01 and GST DRC-07 was not authenticated by any signature of the Proper Officer. It is also noted that in a few cases, the opportunity of a personal hearing was not given, even though expressly asked by the petitioners. The Revenue argued that the attachment to the summary show cause notice in Form GST DRC-01 qualified as a valid show cause notice. The Honorable Court held that a summary show cause notice in Form GST DRC-01 cannot replace the statutory requirement of a show cause notice under Section 73(1), and a tax determination statement attached to DRC-01 is not equivalent to a proper notice. The Honorable Court further held that the SCN's and Orders must be authenticated by a proper officer and that a personal hearing is mandatory under Section 75(4) if requested or if an adverse order is contemplated. Consequently, the impugned orders were set aside and quashed, and the Revenue was allowed to initiate fresh proceedings, with the period from the issuance of summary notices to the service of the judgment excluded from limitation under Section 73(10).

Author's Comments

Notice issued under Section 73(1)/74(1) is required to be accompanied by a summary in Form DRC-01 under Rule 142(1)(a). This requires the issuance of *two documents* for setting the law in motion. This accompanying document is the *sine qua non* to make the 'due process' lawful, proper, and complete. Mandatory requirements cannot be implemented as a directory. And proceeding to adjudicate "DRC-01- Summary to SCN" without accompanying SCN is fatal to demand. When it is prescribed that 'certain things' be done 'certain manner', then those things must be done in that manner or not at all (decision of Privy Council in Nazir Ahmed vs. King Emperor).

Further, every Adjudication Order must be accompanied by a summary in DRC-07. And summary in DRC-07 operates as a 'notice for recovery' in rule 142(6). Summary in DRC-07 without underlying Adjudication Order is *non-est* in law and any subsequent recovery proceedings initiated basis this is termed as 'institutionalized theft' for the want of authority in law.

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Whether a Notice for seizure can be served on the driver transporting the goods?

Yes, the Honorable High Court of Orissa in the case of ***RSL Overseas LLP v. State of Odisha [W.P.(C) No. 21541 of 2024 dated 03.09.2024]*** dismissed the writ petition stating that service of notice under section 129 of the Act to the driver of the conveyance is valid and proper. The Honorable Court noted that there are two grounds of challenge to subsequently issued an order of demand of penalty dated 21st August, 2024. Firstly, the mandate in section 129 of the OGST Act, 2017 is for the notice to be issued within seven days of detention or seizure. It was not so done. Commencing from seizure dated 7th August, 2024, notice dated 14th August, 2024 was one day out of time and secondly, when it was informed to the authority of being the owner of the goods and person responsible therefor, noticing and thereafter serving demand notice on the driver was clear act on part of the authority to deny petitioner recourse in law to avail remedy. The Honorable Court observed that Sub-section (1) in section 129 commences with a non-obstante clause, to include any person transporting goods or storing them while in transit. Proviso under the sub-section says no such goods or conveyance shall be detained or seized without serving an order of detentions or seizure on the person transporting the goods. So it is clear that the provision includes the driver. Serving the notice to the driver transporting the goods was deemed valid under Section 129(1) of the Act. The court found no procedural irregularities in the issuance or service of the notice. For the first ground raised, interpretation of sub-section (3) in section 129 is required. While the first part of the provision provides for a period of within 7 days of detention or seizure, the second part of it provides for period of seven days from date of service of notice. On behalf of petitioner, distinction is sought to be drawn between the use of different phrases in said two parts of the provision. As per Chambers Dictionary 12th edition, the meaning of the word 'of' given includes 'with respect to'. The seizure was on 7th August, 2024. Notice dated 14th August, 2024 issued to the driver thus, in the court's view, was within 7 days of the seizure. Hence, the writ petition is dismissed, as no grounds for interference were established.

Author's Comments

Blinded by their innocence or alarmed by the detention and proposal levying maximum penalty under section 129, taxpayers all too often forget to place on record one essential fact – the owner of the goods has come forward to attend to these proceedings - even when the penalty imposed is not agreeable, Proper Officer intercepting the consignment must be 'put at notice' of this essential fact.

Proper Officer is welcome to disregard the submissions and reach any conclusion that is the most appropriate application of the law to given facts, but where this essential fact is 'placed on record', relief will not evade this taxpayer. And where the taxpayer, in this melee, omits to have a documented proof of establishing this essential fact – the owner of the goods has come forward to attend to these proceedings - then the findings reached by Proper Officer cannot be easily be impeached in later proceedings. That is, where Proper Officer reaches a finding in MOV9 that section 129(1)(b) is attracted to, it would be an uphill task to establish the applicability of section 129(1)(a).

It is very common that MOV6 and hence, MOV9 are 'addressed' to the person named in MOV1 who is usually the 'driver' of the conveyance and later proceedings are all addressed by the owner of the consignment (consignor or consignee).

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Whether proceedings under Section 74 can be initiated after closure of proceedings under Section 73?

Yes, the Honorable Punjab & Haryana High Court in the case of **Group M Media India Private Limited vs Union of India And Others (CWP-28974-2024 dated 24 October, 2024)** dismissed the writ petition stating that the petitioner's contentions are wholly misconceived. The Honorable Court noted that an SCN was issued under Section 73 of the Act to the petitioner and was dropped after filing of reply. However, the office of DGGI had also issued notice to the Assessee to which petitioner submitted its reply. Further, it is contended that the notice issued did not mention any incriminating allegations as to fraud or willful mis-statement with an intention to evade tax and also this is tantamount to parallel proceedings. The Honorable Court observed that the Assessee's contentions were wholly misconceived, and relying upon **HCL Infotech Ltd. vs. Commissioner, Commercial Tax and Anr., 2024 (9) TMI 1644**, the Court held that dropping of notice issued under Section 73 would not prevent the authorities from independently initiating proceedings under Section 74 of the CGST Act. With regards to the contention of parallel proceedings, the Honorable Court noted that no proceedings under Section 74 were initiated in the present case, and only a notice was issued by DGGI seeking certain queries. Thus, the writ petition was dismissed.

Author's Comments

Where a SCN is issued and concluded under Section 73 of the Act for a specific period, there is no bar under the law that no fresh proceedings can be initiated under Section 74 of the Act (although fresh proceedings can be initiated only if new material or evidence has come to light). In this particular case, dropping of proceedings for GSTR-2A vs GSTR-3B mismatch is an affirmation of compliance with the requirement of Section 16(2)(c), whereas cause-of-action for issuing notice by DGGI (on the basis of new evidence/material) for say, violation of Section 16(2)(b) is not based on same subject matter adjudicated earlier. Further, this is not a case covered by Section 6(2)(b) of the CGST Act, where if a proper officer under the SGST Act or the UTGST Act has initiated any proceedings on a subject matter and no proceedings shall be initiated by the proper officer under the CGST Act on the same subject matter, as the cause-of-action is different (most likely). Rushing to the High Court to plead relief under section 75(2) citing the absence of 'special circumstances' to issue SCN under Section 74 was premature and rightly the petition was dismissed for the absence of enough grounds for 'maintainability' of the writ.

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Whether opportunity of hearing must be granted post blocking of ECL under Rule 86A of the CGST Rules?

Yes, the Honorable High Court of Karnataka, in the case of **K-9 Industries vs. State of Karnataka (W.P. no.104242 of 2023 dated 27/07/2023)** disposed of writ petitions directing the Respondents to afford an opportunity of post decisional hearing to the petitioners, who shall be permitted to file their objections along with relevant supporting documents/material and on consideration of the same, competent authority shall pass a reasoned order in compliance of the requirements of Rule 86A. The Honorable Court noted that the provisional blockage of ECL was done by the Revenue and the petitioners contended that a pre-decisional hearing is mandatory before blocking the ECL under Rule 86A. A post-decisional hearing is not a substitute and should only occur if delay in a pre-decisional hearing is justifiable. It was further argued that blocking ITC must be based on an independent application of mind by the authorities, not solely on reports or instructions from other officers, ensuring that the decision is grounded in objective evidence. The Honorable Court noted that before issuing the impugned order, proper officer has arrived at a subjective satisfaction on the basis of the material available before him which he has referred to in the impugned order. The details of such material is not required to be provided or put forward by the competent authority at this stage as the investigation is still in progress. The Honorable Court relying on the decision rendered in the case of **Dee Vee Projects Ltd vs. Govt. of Maharashtra 2022 SCC Online BOM 304**, given the nature of power provided under Rule 86A though the statute does not provide for a personal hearing before passing any order under the said Rule, it has to be read into the provisions of the said Rule which is not expressly provided therein, so that a post-decisional or remedial hearing could be granted to the person/assessee affected by blocking of his ECL. Though post-decision hearing is not a substitute for pre-decisional hearing, in situations where pre-decisional hearing is likely to frustrate the interest and purpose of the Statute, the mechanism of post-decisional hearing will be the only alternative. Hence, writ petitions disposed of with directions, and depending upon the outcome of such orders, if necessary, further action shall be taken against the petitioners as provided under Sections 73 & 74 of the Act of 2017.

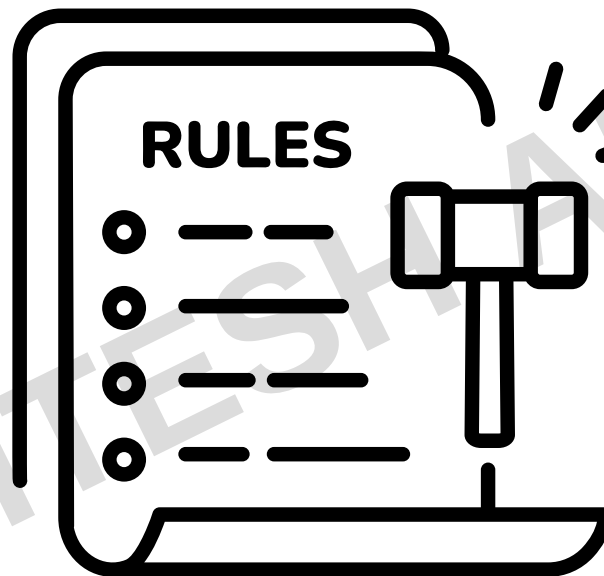
Author's Comments

Rushing to the High Court for every adverse Revenue action may not help to get the desired relief. There are only five (5) reasons for which this pre-emptive and emergency power under Rule 86A can be invoked. And if there are any other reasons, not falling with these, the use of this exceptional power would be contrary to law. Blocking the use of ITC, which is a vested and indefeasible right in the nature of the property of a Registered Person, would be institutionalized theft. Passion to protect the interests of Revenue does not authorize bypassing the law.

In the instant case, the petitioner should have called “reasons to believe” by the Authorized officer for this pre-emptive action and in case of any lapses, approaching Writ court would have been a better strategy. Further, the petitioner should have pleaded that where SCN has already been issued under Section 74 of the Act, continuing to block ITC is excessive and overreach and tantamount to provisional attachment under Section 83 for which no authority exists with the Proper officer blocking ECL. Moreover, the decision to block ECL under Rule 86 by the Commissioner or any other authorized officer is a non-appealable decision, although not specified u/s 121 of the Act.

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Whether the State authorities can initiate proceedings when Central authorities have already initiated the proceedings on the same subject matter?

No, the Honorable Calcutta High Court in the case of ***Baazar Style Retail Ltd. vs. Deputy Commissioner of State Tax [W.P.A. No. 16185 of 2024 dated August 19, 2024]*** set aside the order and notice issued by the State authorities when proceedings have already been initiated by the Central authorities by relying on the provisions of Section 6(2)(b) of the WBGST Act, 2017. The Honorable Court noted that the State authorities issued SCN dated December 27, 2023, for the period FY 2018-2019 under Section 73 of the WBGST Act along with an order dated April 27, 2024 passed under Section 73(9) of the WBGST Act. Previously the proceedings on the same subject matter were initiated by the Central authorities by issuance of show cause-cum-demand notice in which the Petitioner has duly participated. The Honorable Court observed that Section 6(2)(b) of the WBGST Act has to be taken into consideration which clearly states that “*where a proper officer under the State Goods and Services Tax Act or the Union Territory Goods and Services Tax Act has initiated any proceedings on a subject matter, no proceedings shall be initiated by the proper officer under this Act on the same subject matter*”. It is noted that in the present case, the SCN has already been issued by the Central GST Department before the initiation of proceedings by the Respondent by issuance of the Impugned Notice and Order. Therefore, the Honorable Court opined that, the Impugned Notice and Order are not maintainable taking into consideration the aforesaid provisions, and held that the Impugned Notice and Orders are set aside, and the writ petition is disposed of.

Author's Comments

As per Section 6(2)(b) of the CGST Act, if a proper officer under the SGST Act or the UTGST Act has initiated any proceedings on a subject matter, no proceedings shall be initiated by the proper officer under the CGST Act on the same subject matter. In the considered opinion of the Author, there is no bar under the law that once a proceeding is initiated for a particular period by the CGST department, no proceedings can be issued by the SGST or UTGST authorities or vice versa for the same period. The only bar that the statute places is regarding proceedings based on the same cause-of-action and the same subject matter (in a few circumstances, even for the same cause-of-action, parallel proceedings are permissible). Section 6(2)(b) of the Act comes into play only when overlapping SCN is issued for the same subject matter for the same period.

Important to highlight that cross-empowerment is allowed for proceedings carried out under section 67 of the Act only.

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Whether application for cancellation of GST registration can be rejected based on scrutiny proceedings against the taxpayer for determining tax liability of the past period?

No, the Honorable Delhi High Court in the case of *M/s Sanjay Sales India v. Principal Commissioner of Department of Trade and Taxes, Government of NCT, Delhi [Writ Petition (Civil) No. 10234 of 2024 dated July 26, 2024]* held that the application for the cancellation of the GST registration cannot be denied on the ground that the scrutiny proceeding has been raised relating to the tax liability of the taxpayer for the past period. The Honorable Court noted that the Proper Officer was not satisfied with the petitioner's application for the following reasons: (i) Cancellation Details – Others (Please specify) – Please pay due tax and penalties (ii) Cancellation Details – Others (Please Specify) – (PLEASE SUBMIT THE MONTHWISE DETAILS OF TAX DUE/PAID AND SALE/PURCHASE INVOICE ALONG WITH GR & STOCK REGISTER AND BANK STATEMENT SINCE DATE OF REGISTRATION.)” The first ground, “Cancellation Details – Others (Please specify) – Please pay due tax and penalties”, is untenable reasoning given by the Respondent for rejecting the request to cancel the GST registration of the Petitioner. The cancellation of GST registration will not impact the Petitioner's obligation to pay any outstanding taxes and penalties due to the discontinuation of the business. Further noted that the other reasoning given by the Respondent that the Petitioner is required to submit details of tax paid along with stock register and bank statements is irrational as it is settled law that the cancellation of the GST registration would not affect the Petitioner's liability to pay due taxes or to be answerable for any statutory violation before the date of cancellation. The Honorable Court opined that the scrutiny of the Petitioner's tax liability for the past period cannot be a ground for rejecting the Petitioner's application for cancellation of GST Registration. The Honorable Court directed that the Respondent is required to process the Petitioner's application for GST registration cancellation. Hence, the writ petition is disposed of.

Author's Comments

Section 29 permits registered taxpayers to cancel the registration granted if they no longer attract the provisions of section 22 or 24, even if registration was voluntary under 25(3). Rule 20 contains the 'due process' in this regards. Once an application for cancellation in REG16 is filed, proceedings skip to the post-suspension stage along with all attendant disabilities. And where any reason to reject the application is detected, notice in REG-17 is required to be issued. In certain specified instances, suo-motu cancellation is directly permitted. Speaking Order in REG19 too, may omit demanding all the outstanding dues. Taxpayer's liability on account of any of these omissions or incompleteness of demand in REG19, does not eclipse taxpayer's liability under, says, section 29(5). The forethought in securing recovery action is evident in section 93(1) which permits recovery even from the taxpayer's estate. And even more insightful is the provision to take up the determination of liability, if any permitted long after cancellation subject only to the limitation in section 74, as expressly provided in section 29(3). Cancellation does not bring down the curtains on taxpayer's engagement with this law.

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Whether the petitioner can file an appeal after the expiry of the statutory time limit allowed?

Yes, the Honorable Madras High Court, in the case of ***M/s Sri Shanmuga Motors vs. State Tax Officer [Writ Petition No. 11737 of 2024 dated June 03, 2024]*** had set aside the Appellate Order and directed the Department to hear the appeal on merits which has been filed beyond the condonable period for filing of appeal without going into the question of limitation. The Honorable Court noted that from a perusal of the appellate order, it is evident that the delay beyond the condonable period is 21 days only. Further, noted that the Petitioner had asserted in the affidavit that the tax liability was imposed under Section 74 of the GST Act despite the ingredients necessary for invoking Section 74 of the CGST Act were not satisfied. Considering this aspect, The Honorable Court held that the Impugned Appellate Order is set aside as the period of delay beyond the condonable period is only 21 days and directed the Respondent to receive and dispose of the appeal without going into the question of limitation.

Author's Comments

If the appeal is filed after the period of condonation permitted in Section 107(4) (3+1 months), the Appellate authority does not have statutory authority to condone the delay, not even if the reasons are ample and deserve to be entertained. The appeal must be dismissed for being fatally belated because the Legislature has allowed Appellate authority this much authority and not more.

The Honorable Supreme Court has decided in ***Singh Enterprises v. CCE 2008 (221) ELT 163*** that where the period of limitation is specifically provided in the statute, admitting appeals albeit for 'sufficient cause' would render statutory provisions impossible. And Appellate Authority thus being the denuded of authority to condone (due to lapse of maximum time permitted) is barred from examining the cause and condone the delays even for a "good and sufficient" reason.

The Honorable Allahabad High Court in the case of ***M/s. Yadav Steels v. Additional Commissioner and Anr. [Writ Tax No. 975 of 2023 dated February 15, 2024]*** and in the case of ***M/s. Abhishek Trading Corporation v. Commissioner (Appeals) and Anr. [Writ Tax No. 1394 of 2023 dated January 19, 2024]*** has decided that the Central Goods and Services Tax Act, 2017 is a special statute and a self-contained code in itself and Section 5 of the Limitation Act is not applicable to give power to First Appellate authority to condone the delay beyond the statutory time limit allowed.

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Whether a penalty can be imposed when a designated route not taken during transportation?

No, the Honorable Allahabad High Court (Lucknow Bench) in the case of ***Exide Industries Limited vs. Addl. Commissioner Grade-II (Appeal)-1, State Tax, Mainpuri and Another [Writ Tax No 173 of 2024 dated July 09, 2024]*** allowed the writ petition and held that goods are not liable for seizure and penalty cannot be imposed when designated route not taken during transportation as the documents accompanying the goods were found to be genuine. The Honorable Court noted that there is no specific provision that bounds the selling dealer to disclose the route to be taken during the transportation of goods or while goods are in transit however there was a provision under the VAT Act to disclose the route during transportation of goods to reach its final destination. Once the legislature itself in its wisdom has chosen to delete the said provision, the authorities were not correct in passing the seizure order even if the vehicle was not on a regular route or on a different route. The Honorable High Court relies upon the judgment of the Honorable Gujarat High Court in the case of ***M/s Karnataka Traders Vs. the State of Gujrat [Special Civil Application No. 19549 of 2021 dated January 06, 2022]*** opined that the Respondent was not required to seize the goods, once the documents accompanying the goods were found to be genuine and allowed the writ petition.

Author's Comments

Intercepting Officers, fueled by their experience in the earlier tax regimes, that they are able to 'sense' evasion of tax and expand the scope of their own limited powers conferred by the Legislature. It is trite that the 'delegate' - one who has been vested with authority - in the course of exercising authority vested, cannot 'expand' the scope of that authority. To do so would be to attempt to legislate. The delegate must act without the scope of authority vested. And no emergency can authorize 'expansion of authority'.

Until and unless *mensrea* exists and is proved, no penalty under section 129 of the GST Act can be imposed. This is a welcome decision by the Honorable High Court and it comes to the rescue of the taxpayer and once again the Rule of Law stands tall against the over-passionate administration. The Revenue Department has to understand that this kind of approach renders the "due process" laid down in the statute "Superfluous, unnecessary and nugatory", which is impermissible in the law.

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Whether writ petition is maintainable when an alternate remedy of appeal is not exercised?

No, the Honorable High Court of Allahabad in the case of ***M/S Bushrah Export House V. Union of India Writ Tax No. - 200 of 2024 dated 31.07.2024*** disposed of the writ petition with the direction to approach the appellate authority against the orders impugned. The Honorable Court noted that the petitioner, a manufacturer and exporter of garments, filed for a refund of Input Tax Credit on 18.10.2023 amounting to Rs. 98,62,180/- for the period from April 2020 to May 2020. A show cause notice was issued on 14.03.2024, beyond the statutory time limit prescribed under Section 54(7) of the CGST Act. Despite submitting a reply, the petitioner's response was not considered, and an adverse order was passed on 01.05.2024. The petitioner sought the quashing of the order and the show cause notice, along with a direction for the refund of the claimed amount. The Honorable Court observed that the petitioner had a statutory remedy available under Section 107 of the CGST Act, which they should have pursued instead of filing a writ petition. The court noted that the petitioner had mistakenly filed the writ petition and should have approached the appellate authority. The court directed that, given the time spent pursuing the writ petition, the appellate authority should consider the petitioner's appeal on its merits. Therefore, the Honorable Court dismissed the writ petition directing the petitioner to file an appeal with the appellate authority. Further directed the appellate authority to consider the appeal on its merits, given the petitioner's attempt to seek relief through the writ petition.

Author's Comment

To approach the High Court, it must be shown (to the court) that the notice:

(a) deserves intervention of the court to stop the march of injustice; (b) remedy necessary, cannot be allowed in adjudication or in appeal.

Taxpayers must consider that High Courts, being Courts of Equity, are free to admit a petition seeking relief that alleviates the injustice meted out in the notice after considering that the remedies of adjudication and appeals in the law are not 'efficacious' enough to ensure that injustice is not done. The central issue involved in the petition must not be something that takes deep, incisive, and prolonged investigation to locate. Injustice must jump out of the pages to demonstrate the 'maintainability' of the petition and no other forum is empowered to allow relief required to redress injustice exposed in the petition. Petition cannot require the High Court to adjudicate. The Petition must seek the High Court's intervention on the 'grounds urged' to pass such orders as the Court may consider expedient to prevent miscarriage of justice by misapplication, misinterpretation, and misuse of process of law.

A similar decision was rendered by the Honorable High Court of Madhya Pradesh in the case of ***RCC Infraventures Limited Vs. UOI & Ors. [W.P.8253 of 2024 dated May 28, 2024]*** where the writ petition against the Assessment Order was dismissed since the statutory remedy of appeal was not availed.

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Whether the assessment proceedings valid when the SCN is not uploaded on the common portal?

Yes, the Honorable Calcutta High Court, in the case of *Messers Sreema Rice Mill v. Union of India [Writ Petition Application No.11892 of 2024 dated July 02, 2024]*, held that proceedings are not invalid if the Show Cause Notice is not uploaded on the common portal and served by other means specified in Section 169 of the Central Goods and Services Tax Act, 2017. The Honorable Calcutta High Court observed that the SCN was served through the speed post, and the Petitioner had responded to the SCN and had also availed the opportunity of the personal hearing, which constitutes the substantial compliance of the statutory provisions with respect to the service of the notice and the failure to upload the SCN on the common portal does not invalidate the proceedings. Further held that the Impugned Order passed under Section 73(9) of the CGST Act has been uploaded on the common portal dated May 20, 2024, and the Petitioner should be granted the opportunity to exercise its statutory right to file the appeal. Further, the Respondent should upload the order within 7 days from the order date on the common portal. The Honorable Court held that the Petitioner should file an appeal within three months from the date of passing the judgement and order or within three months from the date of uploading the order on the common portal whichever is later, by depositing the requisite fees required for maintaining the appeal under Section 107 of the CGST Act and the appeal shall be heard and disposed of on the merits by the Appellate Authority, upon giving an opportunity of personal hearing to the Petitioner. Hence, the writ petition was disposed of.

Author's Comments

Reply to notice on merits must not be attempted without first exhausting all objections on matters 'other than on merits'. All too often, it is seen that issues touching jurisdiction, validity, due process, limitation, etc., are ignored and when these objections are not raised in earlier proceedings, section 160(2) bars raising these objections in later proceedings. Once the SCN is served and acted upon by the taxpayer, then pleading non-service of SCN on portal has no persuasive value. Every mistake or omission by the department cannot be pleaded as a ground for seeking desired relief. For every adverse outcome of departmental proceedings, taxpayers can express disappointment or displeasure but rushing to file a Writ petition does not help merely because it is statutorily permitted. Every "Order" must be tested for 'grounds of maintainability' of appeal and relief prayed for.

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Whether Appeal to the First Appellate Authority can be filed beyond condonable period after the disposal of the writ petition on the same subject matter?

No, the Honorable Andhra Pradesh High Court, in the case of *M/s Reddy Enterprises vs. Appellate Authority & Additional Commissioner (ST), Vijayawada [Writ Petition No. 12355 of 2024 dated July 05, 2024]* held that the appeal filed beyond condonable period after disposal of the writ petition in favor of the Petitioner by granting relief of setting aside of order subject to certain conditions is not maintainable. The Honorable High Court of Andhra Pradesh observed that the existence of a statutory remedy of appeal does not preclude the consideration of a writ petition under Article 226 of the Constitution of India. The Petitioner had chosen to file a writ petition, and it was accepted by setting aside the Assessment Order, the Petitioner cannot later file an appeal against that order to avoid compliance with the condition of the deposit of the amount in Writ Petition No. 1433 of 2023 vide judgment dated March 24, 2023. The Honorable Court relied upon the judgment of the Honorable Supreme Court of India in the case of *M/s K.K. Modi v. K.N. Modi [Special Leave Petition No. 18711 of 1997 dated February 04, 1998]* stating that the Court can strike out or amend pleadings deemed 'an abuse of the process of the Court.' Further, relied upon the judgment of the Honorable Supreme Court of India in the case of *M/s Neelima Srivastava v. State of Uttar Pradesh [Special Leave Petition (Civil) No. 18198 of 2018 dated August 17, 2021]* wherein it was held that it is not permissible for the parties to reopen the concluded judgments of the Court, this may not only abuse the Court's process but also undermines the administration of justice. The honorable Court opined that the Petitioner cannot file an appeal and start new litigation on the same issue, allowing this would misuse the Court's process and disregard the orders of the writ court in Writ Petition No. 1433 of 2023, which the Honorable Apex Court has upheld. When the Petitioner chooses not to pursue the statutory appeal and chooses for the writ petition instead, they are bound by its decision. Appeals can only be made if the writ petition is dismissed on the grounds of seeking alternative remedies or if permission to appeal is granted. Hence, the writ petition is dismissed.

Author's Comments

The Concept of moulding relief is the authority enjoyed by a Court of Equity such as the Supreme Court or High Court, to travel beyond the statute and invent a solution that redresses grievances. Taxpayers are seen rushing to Courts seeking redressal on the grounds of violation of principles of natural justice assailing the impugned order and not impugned notice of demand. Taxpayers must choose their forum for good and sufficient reasons and not merely to overcome the pre-deposit conditions in statutory appeal.

In the present case, Writ Court allowed the petition and remanded the matter back on condition of payment of 50% of the disputed tax, then not following the Writ Court's orders and preferring an appeal before FAA is deemed 'an abuse of the process of the Court.' Not every matter merits being carried to Court and the taxpayer is now left remediless. Approaching a High Court must be a well-thought and strategic decision.

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Whether registration can be canceled without assigning any reasons?

No, the Honorable Telangana High Court, in the case of ***M/s. Nice Enterprises vs. Deputy Commissioner ST [Writ Petition No. 20080 of 2024 dated July 30, 2024]*** held that the Impugned Show Cause Notice that does not contain necessary factual details, such a notice runs contrary to principles of natural justice and deprives the assessee to file an effective reply to the SCN. The Honorable Court observed that the Impugned SCN is simply a reproduction of provisions of Section 29(2)(e) of the Central Goods and Services Act, 2017 and does not provide the Petitioner the grounds for the Impugned SCN and prevented the Petitioner from submitting the reply to the Impugned SCN. The Honorable Court relied upon, ***M/s Rayees Metals vs. Dy. STO [Writ Petition No. 17400 of 2024 dated July 8, 2024]*** wherein it was held that due to the absence of the factual basis and necessary details, the SCN was declared vague. The Honorable Court held that due to the lack of essential factual details required to invoke Section 29 of the CGST Act, simply repeating the offending clause or enabling provisions does not give justification for the approval of the SCN. The mere reproduction of the offending clause or enabling provision cannot be a reason to give the stamp of approval to an SCN that lacks basic essentials. Hence, the Impugned SCN was set aside and the petition was allowed.

Author's Comments

Cancellation of registration has far-reaching consequences and given that the legislature has specified five (5) explicit delinquencies under section 29(2), there should be no violation of principles of natural justice by canceling registration without following the 'Due process' of law.

Section 155 of the CGST Act places the burden to prove "eligibility to credit" only on the taxpayer. For everything else, the burden rests on the Revenue making the allegation and not on the Registered Person-suffering the allegation. The Burden of proof is not discharged by making an allegation. The Burden of proof is discharged only when a mountain of evidence commensurate with the nature of the allegation made is produced and appended to the notice. Allegations of severe wrong-doing require proportionately substantial evidence. Evidence is not extracts of books of accounts or statements taken on-oath or letters received from another department. Evidence is that which proves something. Solely the fact that the taxpayer was not found at the principal place of business during the departmental visit, without any corroborating evidence or material on record, is the allegation deeply rooted in the incomplete investigation based on only surmise, conjecture, and assumptions that are unable to bring home the allegations leveled against the taxpayer.

A similar decision was given in the case of ***Suresh Chand Gupta vs Union of India and ORS (W.P. (c) 11492/2024) dated 21.08.2024*** by the Honorable Delhi High Court.

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Whether GST is applicable for providing a personal guarantee by the Director for securing loans for the Company?

No, the Honorable Kerala High Court in the case of *M/s. Manappuram Finance Ltd. v. Union of India* [Writ Petition (Civil) No. 24617 of 2022 dated July 29, 2024] allowed the writ petition and held that the Circulars issued by the Central Board are binding on the authorities. The Honorable Court noted that the Petitioner was served the Show Cause Notice demanding the GST on the Reverse Charge Mechanism for the services provided by the Managing Director concerning personal guarantee loans taken by the Petitioner and the GST payable for the services for extending the loans by the Petitioner to its subsidiary company. Further, observed that the issues raised in the Impugned SCN had already been addressed and clarified by the two circulars issued by the Central Board of Indirect Taxes and Customs. As per the **Circular No. 204/16/2023-GST dated October 27, 2023**, no GST is payable for the services providing the personal guarantee loans by the Managing Director of the Petitioner. Further, as per the **Circular No. 218/12/2024-GST dated June 26, 2024**, GST is fully exempted for the services regarding the extension of loans in the case of related entities, in which the consideration is solely in the form of interest or discount. Hence, the Honorable Court quashed the Impugned SCN and allowed the petition.

Author's Comments

Circular No. 204/16/2023-GST dated October 27, 2023 states that according to Explanation (a) of Section 15 of the CGST Act, 2017, the director and the company are to be treated as a related person and the supply of goods or services or both between related persons, when made in the course or furtherance of the business, is to be treated as the supply as per Section 7(1)(c) of CGST Act and the Sl. No. 2 of the Schedule I of the CGST Act, even when made without consideration. As per the RBI Circular No. RBI/2021-22/121 dated November 09, 2021, Banks should ensure that no consideration by way of commission, brokerage fees, or any other form, can be paid to the director by the company, directly or indirectly, in lieu of providing a personal guarantee to the bank for borrowing credit limits. When no consideration can be paid for the said transaction by the company to the director in any form, directly or indirectly, as per RBI mandate, there is no question of such supply/ transaction having any open market value. The open market value of the said transaction/ supply may be treated as zero and therefore, the taxable value of such a supply may be treated as zero. Hence, no tax is payable on such supply of service by the director to the company. Circular No. 218/12/2024-GST dated June 26, 2024 clarified the taxability of the transaction for providing a loan by an overseas affiliate to its Indian affiliate or a person to a related person that according to Section 7(c) of the CGST Act and Schedule I, any supply of goods or services between related persons, even without consideration, is considered a taxable supply under GST. Therefore, the provision of loans, credit, or advances by an entity to its related entity (whether overseas or domestic) is deemed as a supply under GST regulations. Further, the services involving the extensions of the deposits, loans, or advances where the consideration is represented by the way of interest or discount, are fully exempted under GST as per Entry 27(a) of Notification No.12/2017-Central Tax (Rate) dated June 28, 2017.

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Whether the rectification of the errors in the GST returns can be allowed after the expiry of the deadline specified under Section 39(9) of the CGST Act?

Yes, the Honorable Bombay High Court in the case of **Aberdare Technologies Pvt Ltd & Anr V. Central Board of Indirect Taxes & Customs & Ors WRIT PETITION NO.7912 OF 2024** permitted the petitioner to rectify/amend the GSTR-1 either through online or manual means. The Honorable Court noted that the petitioner filed GST returns within the prescribed time but later identified errors in the returns filed for the periods July 2021, November 2021, and January 2022. The petitioner requested rectification of these errors in December 2023, but the request was denied as it was past the deadline specified under Section 39(9) of the CGST Act, which is 30th November following the end of the financial year. The errors identified did not result in any loss of revenue to the State. The Honorable Court observed that the previous ruling of this court in the case of **Star Engineers (I) Pvt. Ltd vs. Union of India (Writ petition no.15368 of 2023 dated 14 December 2023)**, it was held that rectification should be allowed if there is no loss of revenue, even if the request is made after the statutory deadline. The principle applied was that technicalities should not impede justice in cases of inadvertent errors. The Honorable Court emphasized that the provisions of Section 37 and Section 39 of the CGST Act should be interpreted purposively. It highlighted that the intention of the law is to allow correction of bonafide errors that do not result in revenue loss. The Honorable Court noted that the GST regime should be flexible enough to accommodate errors that do not impact revenue and that the department should facilitate the rectification of such errors to prevent unwarranted litigation and improve compliance. The Honorable Court directed that the respondents must open the portal within one week from the order's upload date to allow the petitioner to amend or rectify Form GSTR-1 and GSTR-3B. If the portal is not opened, the petitioner should be allowed to file a manual application for rectification, which must be accepted and processed by the respondents. If the respondents intend to take a contrary stance, they must provide notice and a personal hearing to the petitioner. Hence, allowed the petition.

Author's Comment

Earlier, the Honorable Orissa High Court permitted the petitioner to rectify the error of mentioning B2C instead of B2B in **Form GSTR-1** at the time of filing of returns in the case of **M/s. Y. B. Constructions Pvt. Ltd. v. Union of India and others [W.P.(C) No.12232 of 2021 dated February 22, 2023]**, thereby holding that the assessee would be prejudiced if it is not allowed to avail the benefits of ITC and directed the Respondent to receive the corrected **Form GSTR-1** manually and upload the details on the web portal within 4 weeks of the order.

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Whether the provisions of Rule 96(10) are ultra vires the provisions of S.16 of the IGST Act?

Yes, the Honorable Court in the case of **M/s Sance Laboratories Private Limited vs. Union of India And Ors. (W.P.(C) No. 17447 of 2023 dated 10/10/2024)** held that Rule 96(10) of the CGST Rules as presently worded is ultra vires the provisions of Section 16 of the IGST Act, it is 'manifestly arbitrary' and the provision as it stands today produces absurd results, not intended by the Legislature. The Honorable Court noted that the petitioner contended that Rule 96(10) imposes restrictions on IGST refunds for exporters who have availed certain input benefits, which contradicts Section 16 of the IGST Act. It is further argued that Rule 96(10) is ultra vires as it introduces restrictions not intended or authorized by the statute and contends that the Supreme Court has held that subordinate legislation cannot override or restrict rights granted by the primary legislation. Rule 96(10) of the CGST Rules, by restricting IGST refunds, is contrary to the legislative intent of Section 16 of the IGST Act and thus should be invalidated. The phrase "subject to such conditions, safeguards, and procedures as may be prescribed" in Section 16 of the IGST Act is argued to mean administrative safeguards to prevent revenue leakage, not restrictions on substantive rights. Therefore, Rule 96(10), exceeds the intended scope of these conditions and safeguards. The Revenue referred to the case of Zenith Spinners, upheld by the Supreme Court, arguing that conditions, safeguards, and limitations on refund rights are valid, and that Rule 96(10) does not infringe the right to refund but restricts it within statutory intent for fiscal discipline. The Honorable Court held that the provisions of Section 16 of the IGST (before and after amendment) Act do not restrict the right of an exporter to claim a refund of either IGST paid on exports or tax paid on input services or input goods used in the export of goods or services. The amendment only added categories of eligible exporters for the purpose of IGST refunds. Reaffirming the doctrine that subordinate legislation cannot supersede primary legislation, the Court emphasized that while conditions may be imposed in relation to refunds, such conditions must not encroach upon the statutory entitlement to a refund as conferred by the IGST Act. It was further observed that the words "subject to such conditions, safeguards, and procedure as may be prescribed" in Section 16(3) of the IGST Act and Section 54 of the CGST Act, do not empower the imposition of conditions or limitations that would abrogate or nullify the substantive rights conferred under Section 16. Reliance was placed in the case of Zenith Spinners wherein the Apex Court had affirmed that by issuing a Notification the authority cannot exceed jurisdiction by providing for a situation that either restricts the rights granted under the Rule or makes the rule itself redundant. It was observed that Rule 96(10) caused adverse discrimination amongst exporters who opted for the option of claiming IGST refunds (on exports) with respect to those using the LUT mechanism. The Honorable Court allowed the petition and declared Rule 96(10) of the CGST Rules ultra vires the provisions of Section 16 of the IGST Act. The Court quashed any proceedings pertaining to Rule 96(10) of the CGST Rules and as inserted by Notification No. 53/2018 – CT with effect from 23-10-2017 to 08-10-2024.

Author's Comments

As per Notification No. 20/2024 – Central Tax dated 08th Oct 2024, CBIC has notified the Omission of Rule 96(10) of CGST Rules, 2017 as recommended by the GST Council. Previously, the said Rule restricted registered persons from exporting taxable goods on payment of IGST and claiming a refund if they availed the benefit of the following notifications:

- i) Notification No. 48/2017-Central Tax - (Deemed Export)
- ii) Notification No. 40/2017-Central Tax (Rate) - (Merchant Export)
- iii) Notification No. 41/2017-Integrated Tax (Rate) -(Merchant Export)
- iv) Notification No. 78/2017-Customs - (EOU)
- v) Notification No. 79/2017-Customs - (Advance Authorization)

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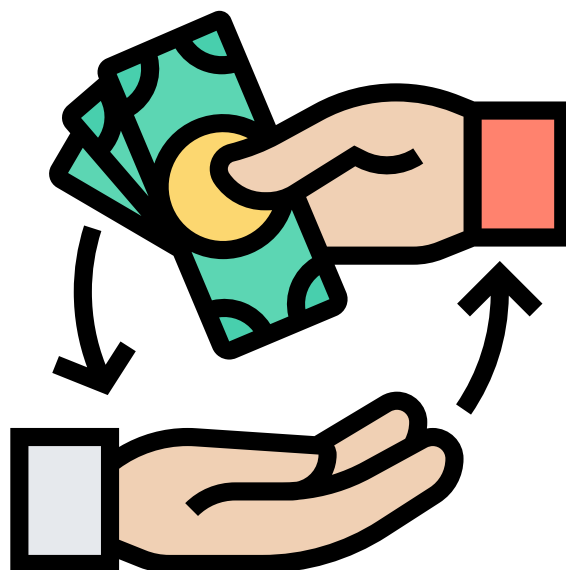


Whether the provisions of Section 17(2) of the CGST Act unconstitutional and ultra-vires Article 14 to the extent it restricts the refund under IDS?

No, the Honorable High Court of Gujarat in the case of ***Empire Foundation Vs Union of India & Ors 2024 (R/special civil application no.3678 of 2021 dated 17/10/2024)*** dismissed the writ petition challenging the provisions of the first proviso of Section 54(3)(ii) restricting the refund of ITC on supply of Nil rated or exempted outward supply. The Honorable Court noted that the petitioner supplies exempted services of education by using inputs, capital goods, and input services on which GST is paid. As the outward supply is exempted, they were not entitled to refund of taxes incurred on inward supplies, under Section 54(3)(ii) of the CGST Act, 2017. Therefore, the petitioner filed a special leave petition under Article 226 of the Constitution before the Honorable High Court, praying to declare section 17(2) of the CGST Act as unconstitutional and ultra vires Article 14 to the extent it restricts refund under inverted duty structure. Further, it was prayed to hold the action of the petitioner to claim a refund of accumulated Input Tax Credit of goods and services on account of inverted duty structure under the first proviso to section 54(3) of the CGST Act as a vested right. The Honorable Court by following the footsteps of ***VKC Footsteps India Pvt. Ltd. reported in (2022) 2 SCC 603***, held that refund in terms of the first proviso to section 54(3) only applies to categories governed by clauses (i) and (ii) and that there is no constitutional entitlement to seek a refund. Clause (i) allows refund of unutilized ITC in the case of zero-rated supplies made without payment of tax. Clause (ii) allows refund of unutilized ITC in a situation where the credit has accumulated on account of the rate of tax on inputs being higher than the rate of tax on output supplies other than inputs utilized for output supplies, which are Nil rated or fully exempted supplies. There was neither a constitutional guarantee nor a statutory entitlement to claim a refund and therefore, the petitioner's prayer to grant a refund of ITC attributable to exempted output supplies cannot be accepted. The petition was dismissed.

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Whether a Penalty under Section 129 can be imposed when there is no intention to evade payment of tax?

No, the Honorable Allahabad High Court in the case of **Ram Krishna Gupta v. State of UP [Writ Tax No. 728 of 2023 dated July 09, 2024]** allowed the writ petition and set aside the penalty order under Section 129 of the CGST Act, 2017 thereby deciding that penalty under Section 129 should not be imposed merely based on a technical error in the filing of e-way bill i.e. e-way bill not complete when there is no intention to evade payment of tax. The Honorable High Court noted that all the required documents were duly accompanied with the consignment. Also, there was no discrepancy in the quality and quantity of goods. Further, no material has been brought on record to show that there was any evidence regarding evasion of tax especially on the mere point that Part-B of the e-way bill was not filled. The Honorable Court relied on the decision in the case of **City kart Retail Pvt. Ltd. v. Commissioner Commercial Tax U.P. Gomti Nagar [Writ. C No. 22285 of 2019 dated September 6, 2022]** and opined that the Impugned Order is not sustainable. It is held that the writ petition is allowed and the Impugned Order is liable to be set aside.

Author's Comments

As per Circular No.64/38/2018 dated 14.09.2018, a general penalty under section 125 of the GST Act must be imposed in case of minor breaches or discrepancies.

In the Author's considered opinion, all the discrepancies in relation to the movement of goods except the fatal errors like not accounting for transaction of supply in the books of accounts, are to be treated as minor discrepancies and no penalty u/s 129 of the GST Act can be imposed. As per Section 129 and Rule 138A of the GST Act, until and unless *mensrea* exists and is proved, all the errors and omissions have to be termed as non-fatal errors and no penalty under section 129 can be imposed.

A Similar judgment was delivered by the Honorable Allahabad High Court in the case of **M/s. Varun Beverages Ltd. v. State of Uttar Pradesh [Writ Tax No. 129 of 2024 dated February 07, 2024]**, wherein the court set aside the orders imposing penalty under Section 129(3) of the UPGST Act on the reason that the defect was of a technical nature only and without any intention to evade tax.

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CA Ritesh Arora is a highly skilled and experienced practicing Chartered Accountant specializing in the indirect tax regime. With over a decade of experience in this field, he possesses in-depth knowledge and expertise in handling various aspects of indirect taxation.



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As a trusted professional, Ritesh Arora offers a wide range of services to his clients, including GST compliance, tax consultancy, advisory, and litigation support. He assists businesses in navigating the complex and ever-evolving indirect tax landscape, helping them optimize their tax positions and minimize any potential risks.

With his extensive experience and practical insights, Ritesh Arora is well-equipped to guide his clients through various tax-related matters, providing expert advice and strategic solutions. His dedication to delivering high-quality service and his ability to understand the unique requirements of each client make him a valuable partner in managing their tax affairs effectively.

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